

Safety Stock and Reorder Point Standard

2.1 Purpose

This standard defines how much safety stock each store must hold and when a replenishment order must be raised for each product category.

3.1 Safety Stock Definition

Safety stock is the minimum buffer held to absorb demand spikes during the supplier lead time. Safety stock must never be used for promotions.

5.1 Reorder Points by Category

Raise a replenishment order when on-hand inventory falls to or below the reorder point.

Category	Reorder Point (units)	Safety Stock (units)	Lead Time (days)
Dairy	40	15	2
Bakery	30	10	1
Frozen	25	12	5
Beverages	60	20	3
Household	20	8	7

6.2 Escalation Matrix

When projected days of cover drop, follow this escalation path.

Days of Cover	Action	Approver
Less than 1 day	Emergency inter-store transfer	Regional Manager
1 to 3 days	Expedite the open purchase order	Store Manager
More than 3 days	No action	Not required

7.2 Seasonal Override

SKU-4410 (holiday hamper) uses a reorder point of 120 units from 1 November to 31 December, overriding the category table.